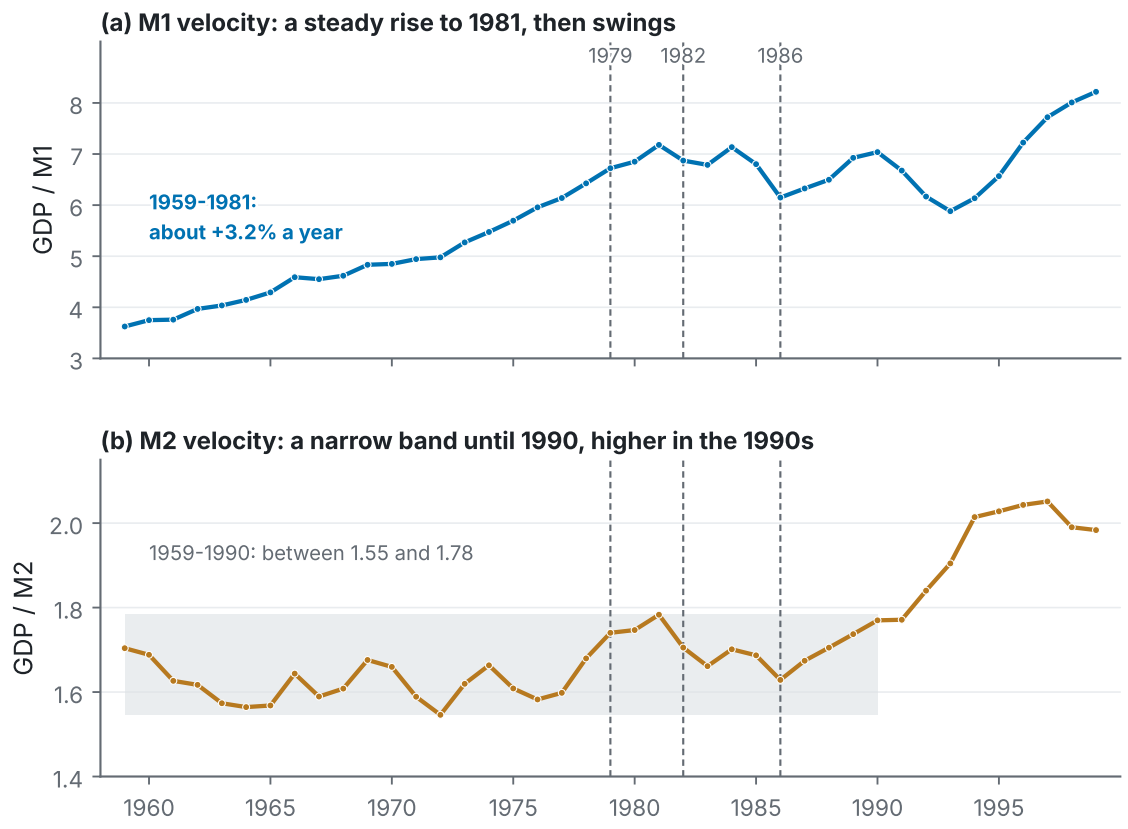
(a) M1 velocity: a steady rise to 1981, then swings
1979
1982
1986
GDP / M1
8
7
6
5
4
3
1959-1981:
about +3.2% a year
(b) M2 velocity: a narrow band until 1990, higher in the 1990s
GDP / M2
2.0
1.8
1.6
1.4
1959-1990: between 1.55 and 1.78
1960
1965
1970
1975
1980
1985
1990
1995